STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service	Case 23-G-0225
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service	Case 23-G-0226

DIRECT TESTIMONY

OF

GREGG C. COLLAR

Dated: September 1, 2023

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I. INTRODUCTION AND OVERVIEW OF TESTIMONY

Q. Please state your name, title, and business address.

A. My name is Gregg C. Collar. I am a Utility Program Analyst with the Utility Intervention Unit (UIU) of the New York State Department of State's Division of Consumer Protection. My business address is 99 Washington Avenue, Suite 640, Albany, New York 12231-0001.

Q. Please briefly summarize your qualifications and employment background.

A. I received a Bachelor of Arts in Mathematics from Hartwick College in 1995. Since March 2005, I have been employed as a Utility Program Analyst, initially with the New York State Consumer Protection Board, and, beginning in April 2011, with the New York State Department of State's UIU. In this position, I am primarily responsible for analyzing utility low-income and service quality performance measurement programs currently in place and identifying reforms that would enhance their reach and effectiveness. I research and draft formal documents advocating UIU's position in Public Service Commission (PSC or Commission) proceedings and represent UIU in collaborative proceedings and other meetings advocating for low-income programs, service quality performance issues, and other matters of interest to UIU. I serve as UIU's representative to the Home Energy Assistance Program (HEAP) Interagency Task Force and the Natural Gas Reliability Advisory Group, and as UIU's representative and

Chairperson on the Board of Directors of the telecommunications Targeted Accessibility Fund, which oversees public benefit programs including Lifeline and E911.

I participated as UIU's representative in Case 01-M-0075, which examined Niagara Mohawk Power Corporation's (Niagara Mohawk) low-income assistance program, as well as in a collaborative in Cases 05-E-0934 and 05-G-0935 that addressed Central Hudson Gas & Electric Corporation's (Central Hudson) low-income program. I also conducted research and drafted documents pertinent to UIU's participation in the investigation of the July 2006 electric power outage of Consolidated Edison of New York Inc.'s (Con Edison) Long Island City Electric Network, Case 06-E-0894, and the investigation of the prudence of Con Edison regarding the July 2007 steam pipe rupture in Case 08-S-0153. In Case 07-M-0548, the proceeding regarding the Energy Efficiency Portfolio Standard (EEPS), I served as the UIU representative in the working group focused on establishing natural gas efficiency goals and the working group focused on helping customers overcome barriers to accessing energy efficiency with the potential use of an on-bill financing program. I also served as the UIU participant in the EEPS Evaluation Advisory Group. Additionally, I have been actively involved in Case 14-M-0565, the proceeding addressing affordability for low-income customers (Affordability Proceeding) and the Energy Affordability Policy Working Group. Recently, I was a member of the Low and Moderate Income (LMI) Clean Energy

Initiatives Working Group established by the Clean Energy Advisory Council, which was tasked with investigating and evaluating alternatives to the current delivery of rate payer-funded clean energy services to LMI customers. I also represented UIU in the LMI Working Group in Phase Two of the Value of Distributed Energy Resources (VDER) proceeding.

Q. Mr. Collar, have you previously testified and/or been involved in negotiations in PSC proceedings?

A. Yes, I have testified and participated in settlement negotiations in numerous rate case proceedings during my time representing the UIU and the former Consumer Protection Board.

Q. What is the scope of your testimony?

A. I will primarily comment on Brooklyn Union Gas Company dba National Grid NY (KEDNY) and KeySpan Gas East Corporation dba National Grid's (KEDLI) (together the Companies) proposed: (1) customer service performance measures; (2) customer experience programs; (3) termination and uncollectible incentive performance measure; (4) new Energy Affordability Program (EAP) Enrollment Earnings Adjustment Mechanism (EAM); and (5) cold weather protections that UIU would like to see addressed. The absence of discussion of other topics in this

testimony should not be construed as support for, or opposition to, the Companies' positions.

Q. Please summarize your recommendations.

A. I discuss the following recommendations in my testimony:

1) I propose changes to certain customer service performance measures. Specifically, I propose a more stringent target for KEDLI's PSC Complaint Rate and Adjusted Customer Bills metrics.

2) I propose changes to the Negative Revenue Adjustments (NRAs) associated with the customer service performance measures.

3) I recommend that the Commission reject the customer experience programs proposed by the Companies.

4) I propose the residential service termination and uncollectible incentive performance measure continue to be suspended and resume only after convening a stakeholder collaborative.

5) I oppose the Companies' proposal for an EAP Enrollment EAM as part of its EAM proposal.

6) I propose that the Companies expand on the cold weather protections currently in place during the cold weather period.

Q. Are you sponsoring any exhibits associated with your testimony?

A. Yes, I am sponsoring Exhibit__(GCC-1) that consists of the Companies' response to Information Requests (IRs), which I relied upon in preparing this testimony. Exhibit__(GCC-2) depicts my recommendations regarding KEDNY and KEDLI's customer service performance targets and NRAs.

II. CUSTOMER SERVICE QUALITY PROGRAM

Q. What customer service performance measures are included in the Companies' service quality programs?

A. Currently, KEDNY and KEDLI both have the following customer service performance measures: (1) annual Commission complaint rate per 100,000 customers (PSC Complaint Rate); (2) Residential Customer Transaction Satisfaction Index; (3) percentage of customer calls answered in 30 seconds (Telephone Answer Response); and (4) Adjusted Customer Bills. (Direct Testimony of the Customer Panel, at 40-41). In their Rate Plans, the Companies are assigned a customer service quality performance target for each measure, and if a Company fails to meet the performance target(s), then it will incur an NRA. (See Table 1 of the Customer Panel's Direct Testimony for a list of the Companies' current targets and potential NRAs for each metric, at 41.) I further note that while the Companies' performance on each metric is measured monthly, the target threshold(s) are applied to the average of each Company's twelve-monthly scores.

Q. Please describe the customer service performance measures.

A. The PSC Complaint Rate metric measures the number of complaints per 100,000 customers "charged" to the Company on a monthly basis, but the metric's target is based on the average of twelve-monthly scores. Under the Companies' current rate plans, a complaint is considered "charged" when a customer, after first contacting the Company to express dissatisfaction with an action, practice, or conduct of the Company, contacts the Commission to express their dissatisfaction with the Company's resolution of their complaint.

The Transaction Satisfaction metric measures the satisfaction ratings resulting from a random survey of residential customers who have contacted either KEDNY or KEDLI.

The Telephone Answer Response measures the percentage of total calls that are answered within 30 seconds by a Company representative.

The Adjusted Customer Bills metric measures the percentage of total customer bills that later require adjustment due to an error by the Company.

(See Cases 19-G-0309 and 19-G-0310, Joint Proposal, at 101-05 (filed May 14, 2021).)

Q. What is the function of customer service performance measures?

A. Customer service performance metrics provide utilities with incentives to provide acceptable levels of customer service. Quality service is important to customers

and serves the public interest. Due to the monopolistic nature of utility service, customers cannot select another delivery service provider if they are not satisfied with the quality of service they receive from KEDNY and KEDLI. Meaningful measures associated with appropriate financial risk ensure that utility companies provide adequate service to their customers. Structured correctly, customer service performance measures provide utilities with incentives that should result in the high level of service to which customers are entitled.

Q. How have the Companies performed on the measures for their customer service performance mechanism?

A. According to page 41 of the Customer Panel's Direct Testimony, since 2015 both KEDNY and KEDLI have met all of their customer service performance targets, and thus incurred no NRAs. UIU reviewed KEDNY and KEDLI's performance and concurs with the Companies.

Q. Does either KEDNY or KEDLI propose any changes to its customer service performance measures?

A. Yes and no. On one hand, the Companies propose to align the KEDNY and KEDLI Customer Satisfaction surveys with the Joint Utility Statewide Survey. (Customer Panel Direct Testimony, at 43-46.) UIU does not oppose this proposal by the Companies. However, the Companies do not propose any changes to their

customer service performance measures' targets and NRAs. In fact, on page 42 of the Customer Panel's Direct Testimony, the Companies claim that "the current targets are appropriate" and "that the existing targets are difficult to achieve and sufficiently challenging to ensure an appropriate level of service, especially during periods of peak demand or extreme temperatures." However, from reviewing the Companies' performance on these metrics over the last five years, it seems that KEDLI, in particular, is performing well above its NRA targets on an annual basis for two of its customer service performance measures.

Q. Please explain your recommendations regarding KEDLI's customer service performance measures.

A. I propose to continue the Companies' current service quality performance measures with modifications to the target levels for the following measures: (1) KEDLI's PSC Complaint Rate; and (2) KEDLI's Adjusted Customer Bills. Customers deserve to see their utility's performance improve over time, especially where, as here, the utility asks its customers to pay higher rates. Customer service performance targets should therefore be set at levels that challenge utilities to achieve enhanced customer service, rather than staying with the status quo. A target that a Company has no trouble meeting fails to adequately incent the Company to improve its performance.

Q. How do you typically arrive at your proposed service target levels for a company's customer service performance measures?

A. I review a company's annual service quality performance data for the last five calendar years. In this case, I referenced data that was provided by the Companies in response to UIU IR No. 34. I calculate the five-year average and then apply two standard deviations. I choose two standard deviations because the result is a more reliably accurate reflection of the average. Application of two standard deviations in this context is a well-established practice in this industry. The Companies conducted a similar analysis and provided those results in the response to the IR.

Q. Please detail your recommendation regarding KEDLI's PSC Complaint Rate service target.

A. KEDLI's performance over the past five years has met or exceeded its PSC Complaint Rate service target. Under the current target, the Company does not incur an NRA until it hits a threshold of 1.0 complaints per 100,000 customers. KEDLI's five-year average was 0.4, far exceeding the current service target level of 1.0. Since with the current target level, KEDLI's complaint rate could increase substantially without incurring an NRA, it does not provide an effective incentive for KEDLI to maintain or improve its present level of service quality. Therefore, I propose a more stringent target for KEDLI's PSC Complaint Rate. The standard

deviation of the 5-year average is 0.09. Therefore, my proposal sets the NRA threshold at 0.6 complaints per 100,000 customers as shown in Exhibit__(GCC-2).

Q. Please detail your recommendation regarding KEDLI's Adjusted Customer Bills service target.

A. KEDLI has far exceeded their service target for this metric over the last five years. Under the current target, KEDLI does not incur an NRA until its service target exceeds 1.50%. (Note: KEDNY's Adjusted Customer Bills service target of 0.62% is well below KEDLI's 1.50%.) Unlike their other customer service performance measures, the Adjusted Customer Bills metric has a minimum, intermediate, and maximum rate interval with an increasing penalty, NRA amount, for each interval exceeding 1.50%, 1.60%, and 1.70%. KEDLI's five-year average was 0.15%, well below the current service target level of 1.50%. The standard deviation was 0.02%. Thus, my proposal would have KEDLI incurring an NRA when it has met a target level that has exceeded 0.20% as shown in Exhibit__(GCC-2).

Q. Do you recommend any changes to the NRAs associated with each customer service performance measure?

A. Yes, I recommend that the NRA value for each metric be measured in basis points as opposed to a set dollar amount. In prior rate plans, including the 2019 rate plans, the customer service performance measures' NRAs have been measured in a flat dollar amount for all three rate years. However, the Companies were increasing its revenue requirement for each of the three rate years, so the flat dollar amount chosen for each measure became a smaller percentage of the utility rate base at risk over time. Assigning a basis point value to the NRAs associated with customer service performance measures will allow the percentage of utility rate base at risk to remain constant if the utility rate base increases.

In the past, the Companies' revenue requirement has increased, yet the monetary value of the customer service NRAs remained frozen. Thus, the Companies' risk associated with the NRAs has been reduced. To ensure consistency and motivate each Company to continually provide adequate service, the NRA or incentive to provide high level customer service should coincide with the value of a basis point from rate case to rate case.

Q. Are there other instances that you are aware of where an NRA relating to the KEDNY and KEDLI's performance is set in basis points rather than a fixed dollar amount?

A. Yes, Gas Safety Performance measures have NRA values that are set in basis points. The Companies' Gas Safety Panel discusses NRAs that are set at a certain

level of pre-tax basis points in its direct testimony. (Gas Safety Panel Direct Testimony, at 36-37.)

Q. What is the value of a basis point?

A. According to the Companies' response to UIU IR No. 27 in these rate case proceedings, for KEDNY, one basis point is equivalent to approximately $493,268. For KEDLI, one basis point is equivalent to approximately $316,021.

Q. What is the total number of basis points allocated to the four customer service performance measures – PSC Complaint Rate, Residential Customer Transaction Satisfaction Index, Telephone Answer Response, and Adjusted Customer Bills?

A. If you consider the total NRA value at risk ($11,700,00) and the value of one basis point, the total value in basis points for KEDNY is approximately 23.72 basis points.[1] For KEDLI, the total NRA value at risk ($9,900,000) is approximately 31.33 basis points.[2]

Q. What is your recommendation for the maximum number of basis points assigned to each customer service performance measure?

[1] $11.7 million ÷ $493,268 = 23.72 Basis Points
[2] $9.9 million ÷ $316,021 = 31.33 Basis Points

A. For both KEDNY and KEDLI, the table below details my recommendation for the maximum number of basis points assigned to the four customer service performance measures.

Proposed Customer Service Performance Measures

Metric	Basis Points
PSC Complaint Rate	15
Residential Customer Transaction Satisfaction Index	15
Telephone Answer Response	15
Adjusted Customer Bills	15
TOTAL	**60**

Q. Has any other utility had the NRAs associated with their respective customer service performance mechanism converted from dollar amounts to basis points?

A. Yes. In a recent Commission order approving the rates and a rate plan for Corning Natural Gas Corporation, the Commission approved the conversion of NRAs from a dollar amount to basis points and, furthermore, assigned 15 basis points to each one of the Company's customer service performance measures.[3] Also, in the most recent electric and gas rate case proceedings of Central Hudson, Orange & Rockland, Con Edison, Liberty Utilities (St. Lawrence Gas), and Niagara

[3] Cases 20-G-0101 et al., Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Corning Natural Gas Corporation for Gas Service, Order Establishing Rates and Rate Plan, at 55 and Appendix 8 (issued May 19, 2021).

Mohawk, the Commission likewise approved the conversion of NRAs from a dollar amount to basis points for these utilities.[4] Converting KEDNY's and KEDLI's NRAs to basis points will provide the consistency the Commission seeks among all the utilities in relation to their customer service metrics.[5]

III. CUSTOMER EXPERIENCE PROGRAMS

Q. Please explain the Companies' proposal regarding its third-party call center vendors.

A. According to the direct testimony of the Customer Panel, the Companies propose to enable their third-party vendors to utilize home-based agents who reside

[4] Cases 20-E-0428 et al., Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Central Hudson Gas & Electric Corporation for Electric Service, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan, at 27, 48–49 (issued Nov. 18, 2021) ("[E]xpressing the NRAs [associated with Customer Service Performance Indicators] as basis points rather than dollar amounts aligns the NRAs with those of other utilities and avoids the potential for dollar amount incentives to become stale or dated.").
Cases 21-E-0074 et al., Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. for Electric Service, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans, with Additional Requirements, Joint Proposal, at Appendix 15, pages 1 and 4 (issued April 14, 2022).
Cases 22-E-0064 et al., Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service, Order Adopting Terms of Joint Proposal . . . , Joint Proposal, at Appendix 21, pages 1 and 6 (issued July 20, 2023).
Case 21-G-0577, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Liberty Utilities (St. Lawrence Gas) Corp. for Gas Service, Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plan, at 26-27, Appendix Q (issued June 22, 2023).
Cases 20-E-0380 et al., Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation dba National Grid for Electric Service, Order Adopting Terms of Joint Proposal, Establishing Rate Plans and Reporting Requirements, Joint Proposal, at Appendix 15, pages 3–7 (issued Jan. 20, 2022).

[5] Case 15-M-0566, In the Matter of Revisions to Customer Service Performance Indicators Applicable to Gas and Electric Corporations, Order Adopting Revisions to Customer Service Reporting Metrics, at 6 (issued Aug. 4, 2017).

outside of New York State rather than its current practice that uses third-party vendors that use New York-based agents. (Customer Panel Direct Testimony, at 47.)

Q. What types of calls are allocated to each Company's third-party vendors?

A. The Customer Panel indicates in their direct testimony that 100% of collections and Move Calls from KEDLI customers and 100% of collections and 70% of Move Calls from KEDNY customers are allocated to their third-party vendors. (Customer Panel Direct Testimony, at 48.)

Q. According to the Companies, why are they proposing to allow their third-party vendors to use call center agents that reside outside of New York State?

A. The Companies describe the Companies' difficulty to recruit, attract, and retain call center positions, particularly in its downstate service territory. Furthermore, the Companies believe its difficulty is also a result of an increase in higher wage opportunities for other types of employment. (Customer Panel Direct Testimony, at 49.)

Q. Do you agree with the Companies' proposal to allow its third-party vendors to use call center agents that reside outside of New York State?

A. UIU has significant concerns with this proposal and advocates that the issue should be discussed further in a separate proceeding. In fact, according to the Companies' response to UIU IR No. 36, the number of calls sent to third-party vendors has been increasing rather significantly over the past 24 months and in KEDLI's case close to 60% of all customers calls are being handled by a third-party vendor. UIU has concerns with such a significant number of customer calls being handled by non-Company employees and the impact outsourcing these calls could have on the quality of customer service.

Q. Do the Companies have any internal measures in place that measure the performance of their third-party vendors?

A. Yes. According to the Companies' response to UIU IR No. 38, the Companies' vendor agreements with their third-party vendors include Key Performance Indicators (KPIs) that measure areas of quality assurance, first call resolution, customer satisfaction, average speed of answer, average handle time, transfer rates, and error rates. The Companies' response also indicates that these KPIs are counted towards the Commission-approved customer service performance measures.

Q. Do the Companies report on these KPIs to Department of Public Service Staff (Staff) or the Commission?

A. It is UIU's understanding that these KPIs are internal only and do not report on their performance to either Staff or the Commission. UIU acknowledged earlier in this testimony that since 2015, both KEDNY and KEDLI have met all of their customer service performance targets. However, without knowing the performance of these KPIs, it is not known how in-house call center performance differs from that of third-party vendors for these utilities.

Q. Does the Public Service Law address the location or relocation of a utility's customer assistance call center?

A. Yes. Public Service Law § 65(13)(b) states:

> No gas or electric corporation shall close a call center or other facility providing the customer assistance set forth in paragraph (a) of this subdivision or relocate such customer assistance to another area of New York state or outside of New York state without notice and hearing before the commission. Upon receipt of the notice required pursuant to this paragraph, the commission shall provide notice of the proceeding to interested parties and the public; and shall promptly fix a date for the commencement of a public hearing thereon not less than sixty days after such receipt.

The Companies acknowledge that a hearing before the Commission must take place before the Companies can relocate any call center operations out-of-state. (Customer Panel Direct Testimony, at 48.) Taking this section of law into account, UIU strongly believes that the Companies' proposal should be considered in a forum outside the rate case. Determinations on a rate case must

balance the interests among ratepayers and shareholders. Further, should this rate case evolve into settlement discussions, this proposal could become one part of a larger agreement that represents negotiations and concessions among parties. On the other hand, given that the Public Service Law has specifically identified the issue for public hearing, it is essential to preserve the singularity of that issue so that all deliberations are fully transparent and final determinations are weighed in favor of ratepayers' needs. UIU believes that a separate and public forum is needed to fully consider the potential impact on customer service quality.

Q. Are there any other proposals by the Companies related to call center operations would you like to address?

A. Yes. The Companies propose to improve call center operations for Spanish-speaking customers by enabling a third-party vendor either in Guatemala or Jamaica to utilize their facilities to manage the Companies' inbound Spanish call volume. (Customer Panel Direct Testimony, at 52.)

Q. Do you support the Companies' proposed changes to call center operations for their Spanish-speaking customers?

A. Similar to the arguments expressed above, this proposal should be considered in a forum outside the rate case, pursuant to Public Service Law § 65(13)(b), so that

potential impacts on customer service quality can be fully and transparently discussed and a determination can be made on a separate record.

IV. TERMINATION AND UNCOLLECTIBLE INCENTIVE PERFORMANCE MEASURE

Q. What is the termination and uncollectible incentive performance measure?

A. It is a performance mechanism established in the Companies' 2016 rate case proceedings (Cases 16-G-0058 and 16-G-0059) that provides each Company a positive financial incentive if it meets or exceeds certain residential service terminations and/or bad debt expense targets. The metric is designed to incent the Companies to "identify and implement new measures to reduce residential service terminations for nonpayment while decreasing, or maintaining, the level of bad debt from residential accounts . . . ." (Joint Proposal, at 47 (filed Sept. 7, 2016)).

Q. How have the Companies performed since the adoption of the residential service termination and uncollectible incentive performance measure?

A. The performance measure was enacted in Calendar Year (CY) 2017. In CY 2017 and CY 2018, KEDNY earned the maximum annual incentive of $1.26 million for meeting both the termination and uncollectible incentive targets. In CY 2019, earned an incentive of $0.54 million for meeting the termination incentive target.

KEDLI earned a Positive Revenue Adjustment (PRA) of $0.36 million for achieving the termination incentive target in CY 2017, CY 2018, and CY 2019.

Q. How did the Companies perform during the term of the Companies' 2019 rate case proceedings?

A. The residential service termination and uncollectible incentive performance measure was suspended for the term of the 2019 rate plans due to the COVID-19 pandemic and laws enacted in 2020 and 2021 that amended the Public Service Law and imposed moratoriums on terminations for residential customers.

Q. What do the Companies propose in these rate case proceedings in relation to the termination and uncollectible incentive performance measure?

A. The Companies propose that the Companies' termination and uncollectible incentive performance measure be suspended during the Rate Year (ending March 31, 2025) and Data Year 1 (ending March 31, 2026) and resume beginning in Data Year 2 (ending March 31, 2027). (Customer Panel Direct Testimony, at 75; See Exhibit__(RRP-3), Summary, at page 3 of 3.)

Q. How do the Companies propose to set the targets for the termination and uncollectible incentive performance measure it proposes to resume April 1, 2026?

A. The Companies propose to use the same methodology and targets that were established in the 2016 Rate Cases for the incentive performance measure. (Customer Panel Direct Testimony, at 77-79.)

Q. Do you agree with the Companies' proposals in setting the targets and timeframe for resuming the termination and uncollectible incentive performance measure?

A. In part. I agree that the residential service termination and uncollectible incentive performance measure should continue to be suspended. I propose, however, that before the Companies resume the residential service termination and uncollectible incentive performance measure that the Companies convene a stakeholder collaborative at least 90 days prior to the beginning of Data Year 2, to set the applicable targets for the incentive performance measure going forward. This will allow interested parties to review each Company's termination and uncollectible data and more applicable targets based on each Company's performance rather than just keeping the status quo as proposed by the Companies. Under the Companies' proposal, the incentive performance measure would not resume until April 1, 2026, and would use targets that were established a decade ago in the 2016 Rate Cases. It is not rational to use targets from ten years ago when measuring a Company's performance; targets should be set based on an analysis of recent performance. UIU typically references the most recent five years of data available when setting targets. In these cases, using the most recent five years of

data includes the years 2020-2022, which is when the incentive performance measure was suspended, and the Companies had no incentive to lessen terminations or uncollectibles. Being that these three years provide anomalous data, it seems more reasonable to set new targets following an applicable time period after 2020-22, when operating conditions are consistent with the period for which the calculations would apply, which would avoid relying on data to set targets that is more recent than ten years old.

V. EARNINGS ADJUSTMENT MECHANISM

Q. Please provide an overview of the Companies' EAM proposals.

A. The Companies propose the continuation of two of the current EAMs established in the 2019 KEDNY and KEDLI rate cases (Share the Savings and Low-to-Moderate Income Customer Energy Efficiency Savings) and to add two new EAMs (System Efficiency: Gas Demand Response and EAP Enrollment). The Companies state that the " . . . Companies looked to build upon existing energy efficiency EAMs and consider additional EAMs that provide an opportunity to create system or customer benefits beyond what would otherwise be expected." (Climate Leadership and Community Protection Act (CLCPA) Panel Direct Testimony, at 53.)

Q. Please explain how EAMs are generally structured.

A. Currently in New York, EAMs are a performance-based ratemaking mechanism that provides utilities with a financial incentive if they achieve certain goals. EAMs typically have targets for achievement at a minimum, midpoint, and maximum level for each calendar or rate year. EAMs were introduced by Commission order in 2016; that order appeared to be focused on electric utilities but did mention the possibility of exploring EAMs for gas efficiency programs.[6] In 2018, the Commission provided further discussion regarding the EAM regulatory construct, stating that:

> [I]ncentives will be based on performance that demonstrably saves money for ratepayers. EAMs will not be an additional cost . . . rather, as a rule, they will be used to incentivize cost reductions that allow utilities to achieve or surpass their energy savings targets with spending below authorize program budgets.[7]

When structuring an EAM, there are many factors that may impact the ability to incent a utility to meet the desired goal and provide net benefits to consumers. These factors include but are not limited to: (1) the process used to set the baseline and forecasts; (2) the process used to set the targets; (3) the basis points allocated to the metric; and (4) the evaluation and verification process used to assess and report on the Company's performance.

[6] Case 14-M-0101, Proceeding on Motion of the Commission in Regard to Reforming the Energy Vision, Order Adopting a Ratemaking and Utility Revenue Model Policy Framework, at 82, fn 95 (issued May 19, 2016) ("Track Two Order").

[7] Case 18-M-0084, In the Matter of a Comprehensive Energy Efficiency Initiative, Order Adopting Accelerated Energy Efficiency Targets, at 67 (issued Dec. 13, 2018).

Q. Which of the Companies' proposed EAMs will you be commenting on in this testimony?

A. I am commenting only on the Companies' proposal for an EAP Enrollment EAM. However, the absence of discussion of other EAM proposals in this testimony should not be construed as support for, or opposition to, the Companies' positions.

Q. Please describe the EAP Enrollment EAM as proposed by the Companies.

A. The Companies state:

> The EAP EAM is intended to accelerate increased participation in the existing EAP program to provide a bill discount to more income eligible customers. Enrollment in the EAP serves as a gateway for identifying eligible customers for LMI energy efficiency and other programs. (CLCPA Panel Direct Testimony, at 51.)

Q. How will the Companies measure and what do they propose as a target for the proposed EAP Enrollment EAM?

A. KEDNY and KEDLI would measure the average number of customers enrolled in the EAP during the program year (December 1 to November 20). The Companies propose the minimum, midpoint, and maximum targets be set at 4 percent, 6 percent, and 8 percent over the baseline. The baseline for the Rate Year and subsequent Data Year would be set at the average enrollment for the previous program year. (CLCPA Panel Direct Testimony, at 65.) The 2 percent, 4 percent,

and 6 percent targets for increasing enrollment were based on, according to the Companies, "the natural variation in program enrollment" for Calendar Years 2018-2022. (CLCPA Panel Direct Testimony, at 66.)

According to Exhibit__(CLCPA-9), KEDNY would earn 0.5 basis points for achieving the minimum target, 1.0 basis point for achieving the midpoint target, and 2.0 basis points for achieving the maximum target. KEDLI would earn 0.5, 1.0, and 1.5 basis points for achieving the minimum, midpoint, and maximum targets, respectively.

Q. Did the Companies propose an EAM related to EAP in their last rate case proceedings?

A. Yes, the Companies proposed an Affordability metric that would reward the Companies 1 basis point for each 0.2% reduction in the average monthly bill for low-income heating customers.

Q. Was the Companies' proposed Affordability metric adopted?

A. No.

Q. Does any other New York electric and/or gas utility have an EAP Enrollment EAM in place, or proposed one in any of their most recent rate case filings?

A. No, not to the best of UIU's knowledge and according to the Companies' response to UIU IR No. 44.

Q. Are there initiatives throughout the State that are already in place that encourage and promote increased enrollment in a utility's EAP?

A. Yes. First, on August 12, 2012, in Case 14-M-0565, the Commission issued its Energy Affordability Policy Phase 2 Order (Phase 2 Oder) that adopted certain modifications and improvements to the Energy Affordability Policy framework. The Phase 2 Order directed Staff to convene a stakeholder Energy Affordability Policy Working Group (Working Group) to consider ways to improve the Energy Affordability Policy which includes a utility's EAP (pages 17–18). This Working Group consisting of various stakeholders including Staff, UIU, and the Joint Utilities (JU) which comprises all the major electric and gas utilities in the State including National Grid, among others. The Working Group began meeting in September 2021 and has met bi-weekly since its inception and oftentimes weekly and in some instances daily. The Working Group's first priority was the development of a uniform statewide self-certification process for manual enrollment into each utility's low-income EAP. The JU developed specific outreach and education plans to inform customers about the statewide standardized self-certification process and shared its draft plans with the Working Group. The Working Group reviewed the proposed O&E plans, and stakeholders

provided comments and edits. Ultimately, the JU (again, including KEDNY and KEDLI) filed their respective outreach and education plans on the availability of self-certification with the Secretary to the Commission in early 2022. In subsequent Working Group meetings, information shared with Working Group members shows an increase in EAP enrollment that one can assume is a result of eligible customers now self-certifying into their utility's EAP; file matching between utilities and the Office of Temporary and Disability Assistance has still not taken place.

Q. Do you support the adoption of the Companies' proposed EAP Enrollment EAM?

A. No, I do not. First, I oppose the Companies' proposed EAP Enrollment EAM because the Companies should not be rewarded for already-required activities and actions undertaken by each Company as a result of robust discussion in the Working Group. Second, the proposed EAM is not consistent with the 2016 order, which stated:

> The discussion in this order is directly applicable to electric rates and electric efficiency targets. The CEAC should also consider applying this approach to gas efficiency targets, with comparable EAMs to be considered in gas rate cases.[8]

Here, the Commission directed that EAMs might be applied to efficiency targets applicable to the utilities' gas businesses. What the Companies are proposing,

[8] Track Two Order, at 82, fn 95.

however, is an EAP Enrollment EAM that is in no way applicable to gas efficiency targets. Lastly, throughout the Customer Panel Direct Testimony, the Companies are seeking 18 Full Time Equivalents (FTEs), of which a good majority if not all have responsibilities that include supporting and enhancing the EAP. If the Companies, as a result of settlement or litigation in these cases, are permitted to hire all or any of these 18 proposed FTEs that will assist in increasing participation in the EAP ratepayers will not only bear the burden of funding a potential significant rate increase to support those positions, but also additional financial incentives associated with this and other proposed EAMs.

VI. COLD WEATHER PROTECTIONS

Q. Do the Companies have cold weather protections currently in place?

A. Yes. KEDNY and KEDLI currently must abide by the Home Energy Fair Practices Act (HEFPA) regulations that include special protections and shut off procedures for circumstances where customer health and safety may be threatened by the termination of service. Additionally, both KEDNY and KEDLI indicate in their response to UIU IR No. 43 that they voluntarily comply with additional cold weather protections other than those in HEFPA. These additional protections, which the Companies have agreed to uphold between November 1 and April 15 (Cold Weather Period), include the following:

- [T]he Companies will accept all Home Energy Assistance Program (HEAP) payments and provide the customer with continued or restored service regardless of the amount due and/or the customer's payment status. The Companies' Customer Advocate outreach programs will continue with focus on HEAP, fuel funds, and the Energy Affordability Program.
- During the Cold Weather Period, the Companies will consider any Regular and/or Emergency HEAP payment as entitling the applicant to a fair and reasonable Deferred Payment Agreement, regardless of any previous DPA defaults.
- The Companies refrain from scheduling residential service terminations on days when the local weather forecast predicts below-freezing temperatures.
- The Companies establish a voluntary moratorium on winter terminations for customers who are elderly, blind or disabled.

Q. Do you have any further recommendations regarding the cold weather protections?

A. Yes. In addition to refraining from scheduling residential service terminations on days when the local weather forecast predicts below freezing (32 degrees) temperatures, each Company should also refrain from scheduling residential service terminations on days when the local weather forecast predicts "feels like" temperatures at or below freezing (32 degrees) for 2 or more consecutive days. Doing so would be consistent with the protection of customer health during cold weather periods and is in the spirit of the current protections that each Company routinely agrees to.

Q. Has this protection been implemented in any other service territory in New York State?

A. Yes, Central Hudson and Con Edison adopted this protection in their most recent rate plans, which were adopted by Commission orders, and the Joint Proposal recently filed by NYSEG/RG&E that is awaiting determination by the Commission includes this protection.[9] This is an important protection to add because these protections are just now being made more transparent, which will provide an opportunity to compare and then hopefully update and standardize protections across the State. Given the extreme weather that we are experiencing, and the practical nature of adding protections for a "feels like" temperature that will further protect utility customers' health during cold weather, this additional clarification is needed.

[9] Cases 20-E-0428 et al., Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Central Hudson Gas & Electric Corporation for Electric Service, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan, at 62 (issued Nov. 18, 2021) ("Central Hudson will refrain from scheduling residential service terminations on days when the local weather forecast predicts below-freezing (32 degrees) temperatures on any given day, or predicts 'feels like' temperatures at or below-freezing (32 degrees) for 2 or more consecutive days.").

Cases 22-E-0064 et al., Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service, Order Adopting Terms of Joint Proposal . . . , Joint Proposal, at 107 (issued July 20, 2023) ("Con Edison will not terminate service to residential customers on days when the forecasted high temperature, factoring in wind chill, will not exceed 32 degrees, regardless of whether the day falls within the Cold Weather Period.").

Cases 22-E-0317 et al., Proceeding on Motion of the Commission as the Rates, Charges, Rules and Regulations of New York State Electric & Gas Corporation for Electric Service, Joint Proposal, at 35–36 (filed June 14, 2023) ("The Companies will refrain from scheduling residential service terminations in a geographic operating region on days when the wind chill values as shown on www.weather.gov are at or below freezing temperatures (32 degrees) in that geographic operating region.").

Q. Does this conclude your testimony at this time?

A. Yes.